

ESG Disclosure and Short-Term Financial Performance

A synthesis of recent empirical evidence and methodological considerations

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Abstract

The relationship between corporate ESG disclosure and short-term financial performance remains contested in the empirical literature. This note synthesises five widely cited studies, contrasts their identification strategies, and discusses implications for analysts interpreting CSRD-aligned disclosures in Danish capital markets. The available evidence supports a positive but modest short-term effect, conditional on disclosure materiality and rating provider. Findings are most robust when researchers control for unobserved firm heterogeneity and use materiality-screened disclosure indices rather than aggregate ESG scores.

1. Why disclosure quality matters more than disclosure volume

Early ESG research relied heavily on aggregate ESG scores from rating providers such as MSCI, Sustainalytics, and Refinitiv. Khan, Serafeim, and Yoon (2016) introduced an important distinction by separating financially material from immaterial sustainability issues using the SASB materiality map. Firms scoring highly on material issues outperformed peers on annual alpha; firms scoring highly only on immaterial issues did not. This separation reframed the research question from 'does ESG predict returns' to 'does *material* ESG predict returns', shifting the methodological centre of the field.

A second wave, summarised by Friede, Busch, and Bassen (2015) across more than 2,000 empirical studies, found roughly 90 percent of studies report a non-negative relationship between ESG and corporate financial performance, with about half showing a positive correlation. The size of the effect is small in absolute terms and noisier in equity returns than in operational metrics like return on assets.

2. The aggregation problem and rating divergence

Berg, Kölbel, and Rigobon (2022) document substantial disagreement across the major ESG rating providers, with average correlations between ratings of approximately 0.54. Their decomposition attributes the divergence primarily to scope differences (which indicators are included), measurement differences (how each indicator is captured), and weight differences (how indicators are aggregated into a composite). For empirical analysts, this implies that any study using a single ESG rating as a key explanatory variable embeds the rater's implicit weighting choices. Replicating an analysis with a different rater can flip the sign of the estimated effect.

A practical consequence: cross-country studies of ESG disclosure should either (a) use disclosure-quality indices built from primary regulatory filings, or (b) use multiple rater scores in robustness checks, never relying on a single composite score for headline results.

3. Mandatory disclosure regimes: identification advantages

Christensen, Hail, and Leuz (2021) review the economic effects of mandatory CSR and sustainability reporting. Mandates create useful natural experiments because adoption timing varies across jurisdictions and firms. Difference-in-differences designs around national transposition of the EU Non-Financial Reporting Directive (2014/95/EU), and now the Corporate Sustainability Reporting Directive (CSRD), can identify causal effects of disclosure on cost of capital, analyst forecast accuracy, and stock liquidity. The general finding is that mandates reduce information asymmetry and modestly lower cost of equity for treated firms, with effect sizes concentrated in firms with previously low voluntary disclosure.

4. Implications for Danish capital markets under CSRD

Denmark is among the first jurisdictions to fully transpose CSRD reporting requirements, with the largest C25 issuers reporting under the European Sustainability Reporting Standards (ESRS) from financial year 2024 onward. Three implications follow for short-term performance analysis. First, the move from heterogeneous voluntary frameworks (GRI, TCFD, SASB) to a single mandatory framework should increase comparability and reduce rater divergence over time. Second, double-materiality reporting under ESRS forces firms to disclose how sustainability issues affect financial performance and how the firm's activities affect society. The financial-impact side of double materiality is precisely the channel through which ESG disclosure should affect share price. Third, because CSRD mandates assurance over disclosed metrics, the credibility of reported

numbers should rise, narrowing the wedge between disclosed quality and market-perceived quality.

For an analyst interpreting CSRD disclosures in 2025-2026, the most useful empirical approach is to focus on changes in firm-level disclosure quality (year-on-year, against baseline voluntary reporting), use firm fixed effects to control for time-invariant heterogeneity, and test for asymmetric responses across firms with different prior reporting maturity. Aggregate ESG scores remain useful for filtering but should not be the primary identification variable.

5. Open questions for further work

Three questions remain open and are well-suited to follow-on research. First, does the introduction of CSRD assurance shift the relationship between disclosure and stock performance for high- versus low-quality reporters? Second, do firms with material exposures to climate-transition risk experience differential cost-of-capital effects upon adoption? Third, how does the post-CSRD divergence between European mandatory disclosure and US voluntary frameworks affect cross-listed firms' capital allocation decisions?

References

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